



Government borrowing

The main way that governments pay for any spending, not already covered by taxation, is through borrowing. However, excessive borrowing will result in high levels of government debt.

Managing the debt

Governments keep a careful eye on their overall level of debt, since high levels of debt mean greater interest repayments. Very elevated levels of debt may even become impossible to repay if tax revenue proves insufficient to keep pace with elevated interest rates. Furthermore, a heavily indebted country that investors see as a risky prospect may find it difficult to borrow enough to cover day-to-day spending.

Borrowing

Governments typically borrow money by issuing bonds to individuals and financial institutions in exchange for a loan. The government will then pay a fixed rate of interest over a period of time to the investor, paying the bond back in full when it reaches maturity.

TAX



Government funds

A typical government receives most of its financing in the form of taxes, but borrowing is also often necessary in order to meet planned expenditures. Any borrowed money will need to be repaid eventually and so a significant portion of a government's budget is reserved for debt payments.